

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Aggressive recruiting** by private-equity firms has prompted a crackdown at big banks fed up with the poaching of their young employees. **B1**
- ◆ **Major U.S. stock indexes** turned higher after early weakness, with the S&P 500 and Nasdaq closing at records, up 0.3% and 0.1%, respectively. The Dow rose 0.4%. **B9**
- ◆ **OPEC doubled down** on its view that global oil demand will keep rising through midcentury and that there is no peak in sight. **B9**
- ◆ **Wells Fargo plans to end** a credit-card partnership with Bilt that lets people earn rewards points for charging their rent after it became a money-losing venture. **B5**
- ◆ **Delta Air Lines shares** jumped 12% as the carrier expressed confidence after a tough first half and forecast a stronger third quarter than analysts had expected. **B1**
- ◆ **Conagra said it expects** organic sales to remain stagnant as the food company reported lower sales for its fiscal fourth quarter. **B3**
- ◆ **WPP named** Microsoft executive Cindy Rose as its new chief executive as the advertising firm grapples with challenges from AI and seeks to halt client losses. **B3**
- ◆ **The EU published** the final version of a voluntary code of practice for general-purpose artificial intelligence meant to facilitate compliance with bloc legislation. **B4**
- ◆ **Jane Birkin's prototype** for the eponymous Hermès accessory sold for the equivalent of \$10.1 million at Sotheby's Paris, setting a record for a handbag sold at auction. **B1**

World-Wide

- ◆ **The crisis engulfing** Boston Consulting Group over its involvement with a humanitarian project in Gaza deepened when the firm announced two senior partners were stepping down from their leadership roles in connection with the work. **A1**
- ◆ **Military lawyers** objected to an Israeli proposal to screen Palestinians in Gaza before moving them to a secure area, saying it could expose Israel to accusations of forced displacement. **A6**
- ◆ **The investigation into** last month's Air India crash is focusing on the actions of the jet's pilots and doesn't so far point to a problem with the Boeing 787 Dreamliner. **A1**
- ◆ **Trump's threat of a 50% tariff** on Brazilian imports expanded his use of punitive duties over matters that have nothing to do with trade. **A1**
- ◆ **The U.S. will put a 35% tariff** on imports from Canada effective Aug. 1, Trump said, with an exemption for goods that comply with the USMCA trade pact. **A4**
- ◆ **A federal judge blocked** the Trump administration from enforcing its birthright-citizenship order weeks after the Supreme Court limited sweeping injunctions in similar challenges. **A2**
- ◆ **Harvard leaders** have discussed creating a new center for conservative scholarship as the university fights the Trump administration's accusations that it is too liberal. **A3**
- ◆ **Mahmoud Khalil**, the Columbia University protester who spent over 100 days in immigration detention, filed a claim seeking \$20 million from the Trump administration. **A2**

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An All-American Upset Rocks the All England Club



TOBY MELVILLE/REUTERS

SLAMMED: U.S. player Amanda Anisimova defeated Aryna Sabalenka, the world's top-ranked women's tennis player, in three sets Thursday at the Wimbledon semifinals. The 13th-seeded 23-year-old will face Poland's Iga Swiatek in Saturday's final.

Gaza Strip Food Project Spiraled Into a Crisis for Consulting Firm

Two partners to quit leadership roles as officials at BCG try to contain the fallout

By CHIP CUTTER AND MARK MAURER

The crisis engulfing Boston Consulting Group over its involvement with a humanitarian project in Gaza deepened on Thursday when the firm said two senior partners were stepping down from their leadership roles over their connection to the work.

The firm got involved last

fall in an effort that became a widely criticized Israeli-backed aid-distribution initiative. Hundreds of Palestinians seeking supplies have been killed in recent weeks after troops fired toward crowds near aid sites, according to local health authorities. The Gaza work has spiraled into the most significant crisis in BCG's roughly six-decade history.

Long-term clients are expressing outrage. Employees and BCG alumni are asking how one of the best-known corporate advisory firms got involved in Gaza in the first place.

The project began as a pro bono effort to help solve food-

supply challenges in Gaza. The firm said it turned into an unauthorized project by two other partners against the firm's instructions. That work included a postwar financial model to voluntarily relocate Palestinians.

In the latest leadership shuffle, BCG's chief risk officer, Adam Farber, and the head of its social-impact practice, Rich Hutchinson, are stepping down from those roles but remain as senior partners. According to people familiar with the matter, both were aware of early phases of the work but not all the details.

Those moves follow the

June firing of two partners, Matt Schlueter and Ryan Ordway, who BCG suggests essentially went rogue in the months after starting the project. Schlueter and Ordway had worked in BCG's public-sector defense and security practice before being ousted.

"In late 2024 a BCG partner misrepresented pro bono work. Months later he began a paid phase of work without authorization, and in parallel, he and another partner undertook off-the-books modeling on

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◆ **Gaza relocation plan raises legal concerns.....** A6

Musk's Grok Goes Rogue, Gives Tips On Assault

By ALEXANDER SAEEDY

Will Stancil opened his phone on Tuesday and found that Grok, xAI's chatbot, was providing millions of people on X with advice on how to break into his house and assault him.

The 39-year-old attorney has a sizable following on X, where he regularly posts about urban planning and politics. Stancil, a Democrat who ran for local office in Minnesota, isn't a stranger to contentious arguments on social media with political opponents.

But on Tuesday, he found that the newest bully online was a robot: @Grok.

Artificial intelligence companies like xAI train their large language models off huge swaths of data collected from all across the internet. As the models have been applied for commercial purposes, developers have installed guardrails to prevent them from generating offensive content like child pornography or calls to violence.

But the way the models generate specific answers to questions is still poorly understood, even by the seasoned artificial intelligence researchers who build them. When small changes are made to the

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◆ **Yaccarino and Musk were often at odds.....** B1

INSIDE



BUSINESS & FINANCE
The Birkin bag that started it all sells at auction at Sotheby's for \$10.1 million. **B1**

VW Bus Went From Fad to Flop

Electric reboot of iconic vintage van is stunted by luxury price, trade war

By SEAN McLAIN AND STEPHEN WILMOT

As psychedelic rock blared, Thomas Schäfer hopped onto a Huntington Beach, Calif., stage flanked by surfboards two years ago to announce the rebirth of an automotive icon, the Volkswagen bus.

The German auto giant was bringing back the bus as an electric vehicle, albeit one with a boxy design and two-tone paint job reminiscent of

the original. The reboot was more than two decades in the making, and the company said the vehicle would soon be available in the U.S.

"Finally, finally," said Schäfer, a top VW executive, as the bus they called the ID.Buzz rolled across the stage to wolf whistles from the crowd.

The reception since has been considerably less enthusiastic.

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For These Children, School Is a Walk in the Park

Moms who home school at Disney World say lessons abound; economics of piracy

By MEG TANAKA

For most children, school means crammed classrooms, soggy sandwiches and bell schedules. For some, it means doing workbooks at Cinderella Castle, writing thank-you letters to Rapunzel and grabbing fresh churros during snack break.

These are the Disney home-schoolers—parents who've swapped schoolbuses for monorails and now treat the parks as a classroom.

"We're not just do-

ing rides and calling it school," said Haley Sisk, a former teacher who home-schools her three children, ages 5 and younger, and plans to continue for as long as the family lives nearby. "They learn to regulate emotions, speak up for themselves and interact with others. That's real learning too."

Orlando is a popular destination for what some call Disney schooling. Hundreds of families go to the Disney World parks sev-

No free ride

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Family of 9 Flees Flood With Knife and Hymns

By DAN FROSCHE

HUNT, Texas—It was July 3rd and Penny Deupree's house near the Guadalupe River was crowded, just the way she preferred it.

Her son Tad and his wife had driven down from Dallas. Two of her granddaughters had joined, too, a husband and boyfriend in tow, along with two great-grandchildren, ages 1 and 3. There were nine in all, laughing, grilling and swapping stories on Penny's 1.2-acre grassy patch of paradise in the Hill Country.

At 82 years old, this is how Penny imagined the rest of her life: in this house filled with family and totems, like the portrait of her great grand-

Trump Employs Tariffs as Political Cudgel

Threat to hit Brazil over Bolsonaro trial marks shift from trade-based policy

President Trump's threat for a 50% tariff on Brazilian imports expanded his use of punitive duties over matters that have nothing to do with trade, breaking with more than a half-century of global economic precedent.

By Gavin Bade in Washington and Marcus Walker in Rome

Trump cited the trial of the president's close political ally, former President Jair Bolsonaro of Brazil, as the rationale for new tariffs set to take effect Aug. 1 on imports from the largest economy in Latin America.

It is the latest—and perhaps most brazen—example of Trump using tariffs as a cudgel for political priorities outside of trade. In January, he threatened tariffs on Colombia over repatriation flights for migrants back to that country. Then he imposed steep duties on Canada, Mexico and China over their role in theentanyl trade

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◆ **Canada faces new threat of 35% tariff.....** A4

Pilots Are Focus of Probe Into India Crash

The investigation into last month's Air India crash is focusing on the actions of the jet's pilots and doesn't so far point to a problem with the Boeing 787 Dreamliner, according to people familiar with U.S. officials' early assessments.

By Andrew Tangel, Shan Li and Krishna Pokharel

Preliminary findings indicate that switches controlling fuel flow to the jet's two engines were turned off, leading to an apparent loss of thrust shortly after takeoff, the people said. Pilots use the switches to start the jet's engines, shut them down, or reset them in certain emergencies.

The switches would normally be on during flight, and it is unclear how or why they were turned off, these people said. The people also said it was unclear whether the move

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◆ **U.S. struggles to get disaster alerts right.....** A3